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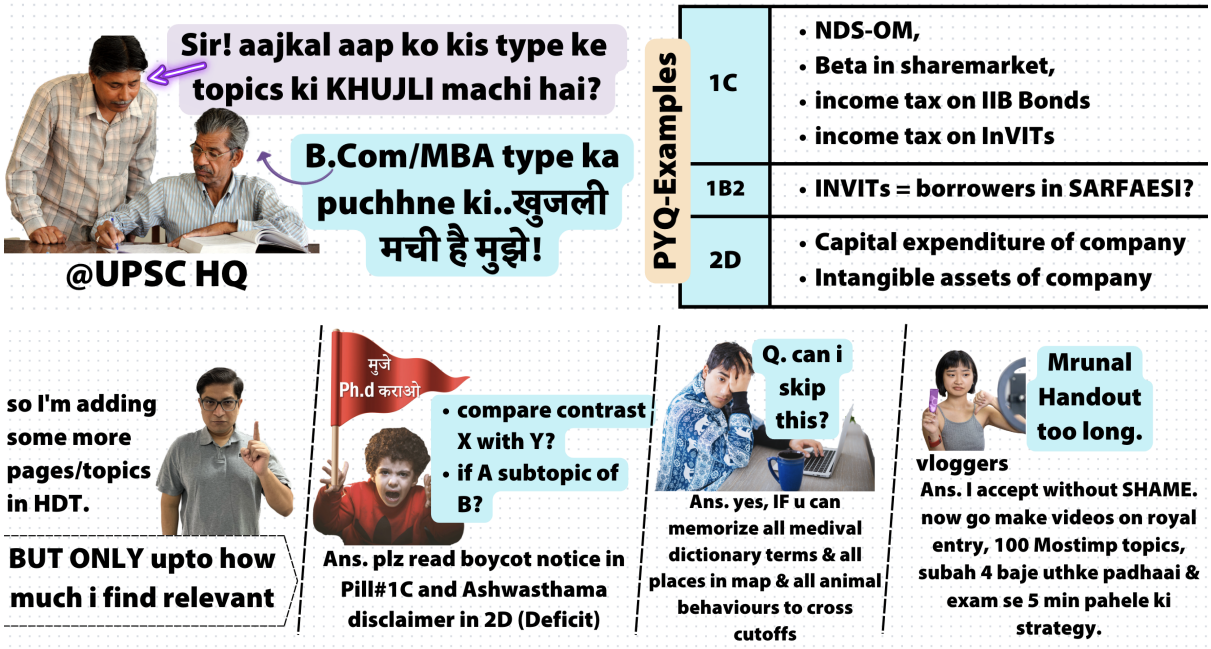
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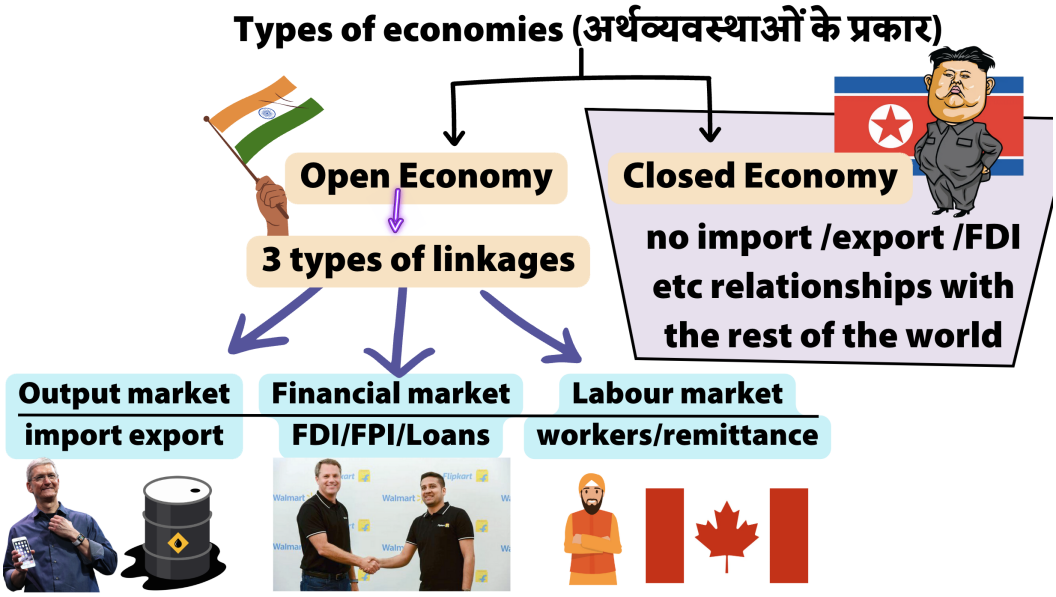
30 📮🎖️ Pillar#3A: Balance of Payment (भुगतान संतुलन)

Year	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
MCQs	4	4	7	7	2	4	3	1	1	1

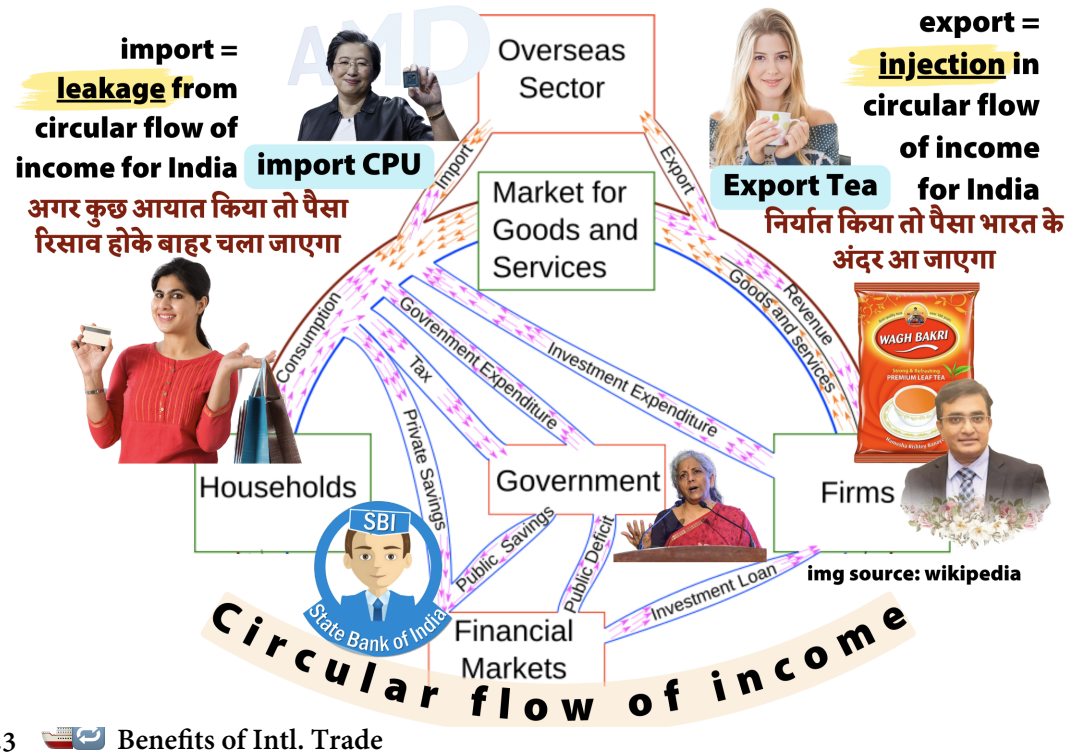
30.1 👩‍⚖️ Academic Disclaimer



30.1.1 🚢🔁 Types of Economies



30.1.2 🚢🔁 Circular Flow of Income & Import Export



30.1.3 Benefits of Intl. Trade

Stakeholder	Benefits
To Govt	Earning of forex, jobs, GDP, efficient use of resources (men, material), increase income → improved standard of living
To (exporting) Companies	more customers, more profit, increased capacity utilisation, way out (escape) from intense competition within domestic market.
To Customers	improved choices - in terms of quality and price.

30.1.4 Entry into international business - various modes/types

Type	Meaning / Example	Challenges
import export	simplest form of entry into intl. business	cost/risk of packaging-transport, Taxes, protectionism, exchange rate, geopolitical problems (Taiwan, Ukraine, Palestine)
Contract manufacturing / outsourcing	e.g. Tata making iPhones for Apple Godrej making Dettol soaps for Reckitt and Colman.	Quality control. Contract manufacturer (Tata) will not make as much % profit as the original company (Apple)
Franchising (services)	Dominos Pizza (USA) → JUBILANT FOODWORKS (India).	1) Quality control. 2) Royalty fees/payment. 3) Danger to the original brand that later on Franchisee may pirate/misuse the trade-secrets/receipts to launch a similar product.
Licensing	Pepsi → Varun Beverages	Similar to Franchising

Type	Meaning / Example	Challenges
(goods mfg)		
Joint venture	Hero Honda = Hero Group of India and Honda of Japan. (later on venture was terminated around 2010)	- Leak of trade secrets - Clash of egos/ideas of the two companies' top bosses.
Wholly Owned Subsidiaries	Standard Chartered Bank (India) is 100% owned by Standard Chartered Bank (UK Parent).	- Issues related to taxation, transfer pricing etc. - Business stability depends on political/diplomatic relation between the two countries e.g. Canada/USA arrested Huawei top official then China started taking action against American companies in China (2019–21).

• **FAQ1:** what is the difference between contract manufacturing and licensing and joint venture? Ans. Academic disclaimer on top of HDT3A. थोड़ा-पढ़ो-आगे-बढ़ो.

• **FAQ2:** you mentioned the challenges, but what are the benefits? ✅Ans. Apply common sense around how such partnerships or deals cud help in the capital/investment, risk-taking, innovation & Idea exchange etc.

30.1.5 Documents related to Import/export

Document	Meaning / example
quotation / proforma invoice	I (Exporter) can supply you (importer) tea at X price on Y date.
indent / Receipt of order	I (importer) agree with your (Exporter's) quotation & I want buy _ _ _ kg tea at the price quoted by you.
Importer-Exporter Code	Indian importer/ exporters have to get this number / license/registration number from Directorate General Foreign Trade (DGFT, under Commerce Ministry)
Certificate of Inspection	Indian exporter may have to get this from Export Inspection Council of India (EIC, under Commerce Ministry)- depending on the type of product.
Certificate of origin	1) Suppose USA banned Chinese seafood. Then Indian exporter need to produce certificate to USA-officials ke "my product is from India (and not from China)". 2) Suppose India signed free trade agreement (FTA) with Sri Lanka ke 0% import tax (customs duty) on Srilankan Ink → Srilankan seller need to show certificate to Indian officials ke "my product is made in Sri Lanka (and not in China)
End-user certificate (EUC)	e.g. If USA sells fighter jets to Pak Airforce (PAF), then PAF has to certify to USA that we (=PAF/buyer) are the final recipient of the materials, and

Document	Meaning / example
	we are not planning on selling/transferring the jets to another party e.g. Hamas/Taliban. EUCs are required by many govts to restrict the flow of the materials to terrorism-supporting nations.
Shipping/Courier related docx	e.g. carting order, cart ticket, mate's receipt, bill of lading, airway bill: what do they mean? How do they work? not important.
Demurrages	Mundra Port owner (=Adani) will demand penalty fees from the importer/exporter/shipping company IF those players cause delays in loading/unloading cargo in Adani's port.

30.1.6 📝 Docx related to Loans - Bill of Exchange



30.1.7 📝 Docx related to Loans - others

Document	Meaning / example
Export Credit Guarantee / Export Credit Insurance (Ref: Pillar#1D)	<u>NIRVIC Scheme: e.g. ECGC's letter to SBI:-</u> Dear@SBI please approve the loan to Indian Exporter. If he doesn't repay loan, we'll cover _ _ _ % losses.
Letter of Credit / Letter of Undertaking for importer (Ref: Pillar#1B2-NPA)	<u>PNB (Mumbai Branch)'s letter to HSBC (HongKong):</u> Dear@HSBC Bank (HongKong) plz give foreign currency loan to our client (Indian importer) Nirav Modi for import of diamonds. If he doesn't pay, we (PNB) will pay.

🚩👶 **FAQ:** How are above two terms (export credit guarantee versus letter of credit) similar to different? Not imp4exam. थोड़ा-पढ़ो-आगे-बढ़ो. 🐂✅🐂✋

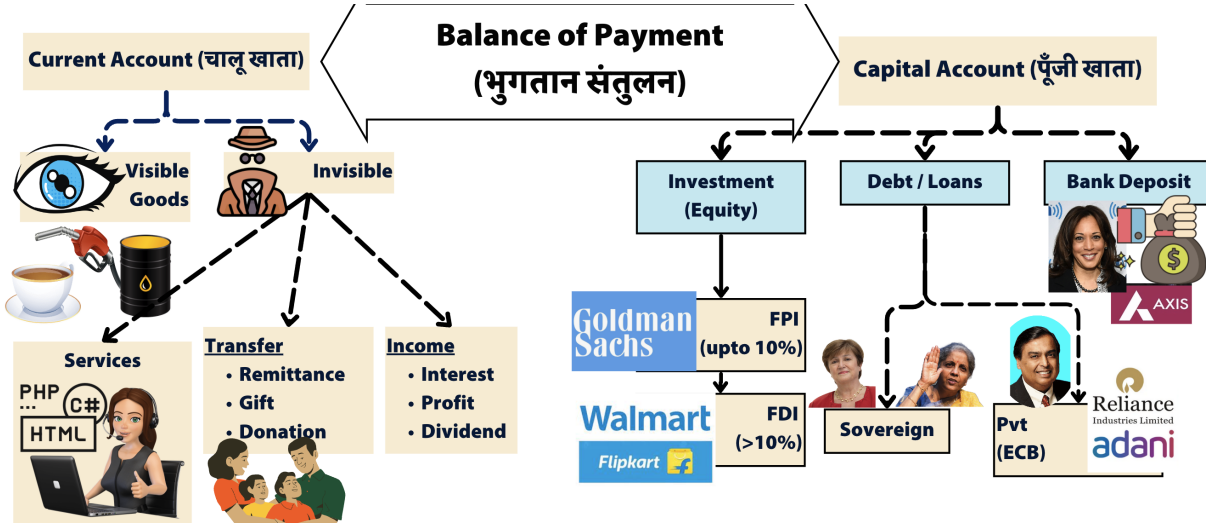
30.1.8 🗒️ BoP Dataspan

In 📕ES26: Latest BoP datasets are upto 2024–25 Only. It has given 2025–26's only provisional data upto Apr-Sep. so not very MCQ worthy,

30.1.9 🤖✍️ Note on AI use in this document:

- Earlier Economic surveys used to provide data and rankings in their chapter itself. Now, they hide the dataset in a 170-page statistical appendix to prevent Ravish Kumar and Rahul Gandhi from easily finding and criticizing the data.
- I used Claude-AI to fetch and arrange the data from the PDF, as manually wading through the appendix is time-consuming.
- Tables with an 🤖✍️ icon are AI-generated. If a table is factually incorrect, I (Mrunal) will take moral-responsibility, will not blame AI for it.

30.2 🛟 BoP- Meaning / Definition



- BoP is a systematic record of all economic transactions made between the residents and non-residents of a country for a specific time period, usually a year. किसी देश के निवासियों और गैर-निवासियों के बीच किए गए सभी आर्थिक लेनदेन का एक रिकॉर्ड है।
- Central Banks of each country prepare BoP records as per the format given in IMF's BPM-6 manual, all the figures are expressed in Dollar$.
- Since any country's debit (outgoing money) is a credit (incoming money) for another country → World's NET Balance of Payment is ZERO.
- BoP is further sub classified into two parts → Current Account (चालू खाता) and Capital Account (पूंजी खाता), based on the nature of transactions.

30.3 🐯 RBI's (Actual/Real) method of classifying BoP

⛽🎖️💎 Current Account	💳🤲 Capital & Financial Account
Goods and services	1. Direct Investment (FDI) 2. Portfolio Investment (FPI) 3. Loans / External Commercial Borrowing (ECB) 4. Non-resident's investment in Bank, Insurance, Pension schemes. 5. RBI's foreign exchange reserve
Primary Income: wages, dividend, interest	
Secondary income: remittance, gift, donation	

However, for the purpose of learning, we'll continue with the traditional classification given in the textbooks (and in below image)

30.4 BALANCE OF PAYMENT → CURRENT ACCOUNT →

Component	NET Amount in billion dollars	2018-19	2019-20	2020-21
Visible दर्शनीय	Trade in Goods	-180	-157	-102
Invisible अदृश्य	Trade in Services	+82	+85	+88
	Primary Income: Wages, Profit, Interest, Dividend.	-28	-27	-36
	Secondary Income/Transfer: Remittance, Gift, Grants, Donations.	+70	+75	+73
Net Current Account Balance (if negative: "Deficit")		😰-57 Bn (Deficit)	😰-24 Bn (Deficit)	😃+24 Bn (+0.9% GDP)

1) From 2001-04: We had Current Account Surplus (चालू खाता अधिशेष) because, it was a time before the USA's subprime crisis when global economy boom had ↑ our exports). But then we started to have deficit. India's current account deficit averaged -2.2% GDP in the last 10 years.

2) 2020-21: Corona- imports ↓ compared to export (and we managed to export decently in the Pharmaceutical and IT sector). So, India witnessed a Current Account surplus for the first time (2020-21) after last 17 years! कोरोना महामारी व तालाबंदी के चलते आयात में भारी गिरावट के चलते पिछले 17 सालों में पहली बार चालू खाता घाटा नहीं, चालू खाता अधिशेष हुआ!

CAD	2011-2019	2020-21	2022-23	2023-24	2024-25
% of GDP	*Minus 1 to minus 4%*	*Surplus +0.9%*	*DEFICIT -2%*	*(-)0.7%*	*(-) 0.6%*

30.5 BALANCE OF TRADE (BOT व्यापार का संतुलन)

(Definition) Balance of Trade is the difference between the value of import and export of _ _ _ .

- ✅ Of Goods (as per NCERT.)
- ✅ Of Goods and Services (as per IMF balance of payment manual)

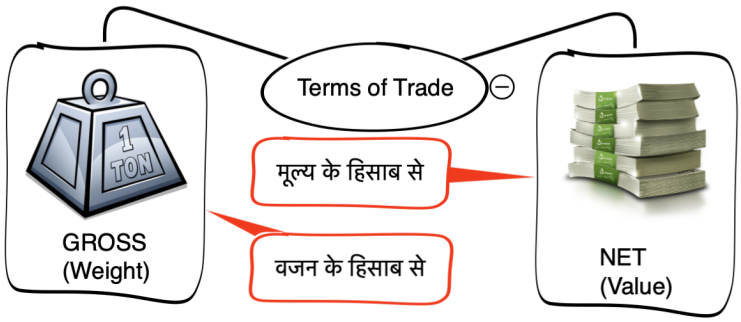
FAQ: So what to tick in MCQ? Ans. well depends on the context of the MCQ.

Balance of Trade	Amount in Billion $ for Year 2018-19
Export Goods	+330
Import Goods	-510
Export Services	+208
Import Services	-126
Balance of Trade (ONLY Goods)	+330-510 = (-180) 😰TRADE DEFICIT in GOODS
Balance of Trade (ONLY Services)	+208-126 = (+) 82 😃TRADE SURPLUS in Services
Balance of Trade (Goods & Services Combined)	+330 Goods + 208 Services-510 Goods – 126 Services = (-98) =😰TRADE DEFICIT

30.1.1 Net Terms of Trade (NTT) or Commodity terms of trade

$$NTT = \frac{Value\ of\ export}{Value\ of\ import} * 100 = for\ India\ its < 100\ (usually)$$

Meaning ($ or value) wise we are importing more and exporting less.



30.1.2 Gross (Barter) Terms of Trade (GTT, सिर्फ प्रिलिम के लिए, अत: हिंदी अनावश्यक)

$$GTT = \frac{quantity\ vol\ of\ import}{quantity\ vol\ of\ export} * 100 = for\ India\ its < 100\ (Usually).$$

So, in **physical quantity** (kg, litres) we are exporting more than importing. This is possible because exported Indian rice's quantity (kg) could be large even though its value ($) will not be very large.

30.1.3 Income terms of trade (ITT)

$$ITT = \left(\frac{Value\ of\ export}{Value\ of\ import}\right) * (Quantum\ index\ of\ exports\ QIE) = (Net\ terms\ of\ trade) * (QIE)$$

✋Formula not important. What is quantum index of export = not important.

For India and other developing countries, ITT is much relevant indicator for analysing their foreign trade compared to previous 2 indicators. Why? Ans. not important.

30.2 Top Import and Exports & Destinations as per ES26:

🙋‍♀️**FAQ: do I've to memorize this? Ans.** Yes, IF giving Non-IAS exams, esp. StatePSC exams.

India's share in World	2005	2024
Goods Exports	1.0%	1.8%
Services Exports	2.0%	4.3%

30.5.1 Import export related ranking 2024–25 from ES26:

🤖✍️	Goods		Services	
	Import	*Export*	*Import*	*Export*
1	Petroleum	Petro Products	Biz Services	IT
2	Gold	Engg Goods	Travel	Biz Services
3	Electronics	Gems	Transport	Travel
4	Machinery	Chemicals	Fin. Services	Transport
5	Coal/Coke	Pharma	IPR^^	Fin. Services

^^ IPR License/Royalty e.g. using copyrighted material, contract manufacturing of patented drugs/electronics items etc.

30.5.2 Agri Exports - Notable from ES26:

- India is the world's second-largest agricultural producer by value.
- Major agri exports= Rice, Fish (Marine), Buffalo Meat, Spices, Oil Meals, Sugar

India	2000	2024
% of Global Agri Exports	1.1%	2.2%

30.5.3 Nations ke saath Surplus and Deficit as per ES26:

- Surplus: USA, UK, Bangla, Netherlands etc.
- Deficit: China, Russia, UAE , S Korea etc

MCQ. The balance of payments of a country is a systematic record of (Pre-2013)
(a) All import & export transactions of a country during a given period of time, normally a year.
(b) Goods exported from a country during a year.
(c) Economic transaction between the government of one country to another.
(d) Capital movements from one country to another.

MCQ. Which of the following does not form part of current account of BoP? [UPSC-CDS-2014-II]
(a) Export and import of goods (b) Export and import of services
(c) Income receipts and payments (d) Capital receipts and payments

MCQ. Current Account includes? (Asked in UPSC-Pre-2014)
1. Balance of trade. 2. Foreign assets. 3. Balance of invisibles. 4. Special Drawing Rights.
Answer codes: (a) 1 only (b) 2 and 3 (c) 1 and 3 (d) 1, 2 and 4

MCQ. Among the following, which one of the following is the largest exporter of rice in the world in the last five years? (Pre-2019) (a) China (b) India (c) Myanmar (d) Vietnam

MCQ. Among the agricultural commodities imported by India, which one of the following accounts for the highest imports in terms of value in the last five years? (Pre-2019)
(a) Spices (b) Fresh fruits (c) Pulses (d) Vegetable oils

MCQ. Since 2014-15, India has consistently run trade surplus with which one among the following countries? (UPSC-CDS-2020-ii) (a) China (b) Saudi Arabia (c) USA (d) Germany

MCQ. Find correct statement(s) about international trade of India at present? (Prelims-2020)
1. India's merchandise exports are less than its merchandise imports.
2. India's imports of iron steel, chemicals, fertilisers and machinery have decreased in recent years.
3. India's exports of services are more than its imports of services.
4. India suffers from an overall trade/current account deficit.
Ans Codes: [a) 1 and 2 only [b) 2 and 4 only [c) 3 only [d) 1, 3 and 4 only

MCQ. Consider the following statements: (Prelims-2020)
1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. Textile and textile articles" constitute an important item of the trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia.
Codes: [a) 1 and 2 only [b) 2 only [c) 3 only [d) 1, 2 and 3

MCQ. Find wrong abt India's services export (CAPF-2025)
1. India's share in global services export has more than doubled, reaching around 4.3 percent in 2023 from 1.9 percent in 2005. (CORRECT)

2. Travel and Transport services represent areas where India holds a relatively larger share in global export, at 10.2 percent and 8.5 percent respectively in 2023. (WRONG: it is ~2% and not 8-10%)
Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2
Note: st1 right, st2 wrong. But, such MCQ directly lifted from Economic Survey. It is **not possible** to memorise all such data. Better prepare other subjects.

30.5.4 👨‍💼 Service Sector Exports → Global Capacity Centres (GCC)

- Also called captive centres, global in-house centres (GIC)
- GCCs provide services in operation, product development and innovation.
- GCCs provide services banking and financial services, software, telecom and semiconductors, aerospace, automotive, oil and gas, healthcare and pharma.
- 1985: **Texas Instruments** was the first to setup GCC in Bengaluru. (Asked in CDS Exam)
- 2023: 150+ MNCs (multinational corporations) running 1600+ GCC in India, employing 32 lakh people, primarily engineers and scientists.
- 👛Budget-2025: we will develop in tier 2 cities. (Tier2 means city population 50,000 to 99,999- as per RBI definition.)

30.3 💹 Reports / Indices related to Export & Remittance

30.4 💹 Export Preparedness Index by NITI (निर्यात तैयारी सूचकांक)

⇒ It ranks the Indian states based on State govt policies, infrastructure, transport connectivity, ease of doing business etc. (राज्य सरकार की नीतियां, बुनियादी अवसंरचना, परिवहन, व्यापार में सुगमता)
⇒ Overall, most of the Coastal States are the best performers. (तटीय राज्य सर्वश्रेष्ठ प्रदर्शन)
⇒ Further sub-rankings for categories -'Coastal', 'Landlocked', 'Himalayan', and 'UTs/City-States'). But poor cost benefit preparing the whole list for exam.

30.4.1 💹 Global Survey on Digital and Sustainable Trade Facilitation by UNESCAP

⇒ By United Nations Economic and Social Commission for Asia Pacific's (UNESCAP).
⇒ It gives % score based on Govt's efforts for Transparency, ↓ Formalities, Institutional Cooperation, Cross-Border Paperless Trade. But Ranking NOTIMP.

30.4.2 💹 Report: Goods Trade Barometer Index

⇒ by World Trade Organization (More in 📄Pillar#3B: International Orgs.)
⇒ This index signals changes in world goods trade growth.
⇒ If Index value > 100: 😍. But less than 100 = 🥺. Value is 96.1% (as of 2022-Dec)

30.5.5 💹 Remittance: World Bank's Remittance Report (धनप्रेषण)

- Since 2008: largest amount of remittance received by 1) India 2) China 3) Mexico.
- 2025: (1) India (2) Mexico (3) China. Then Philippines, Pakistan etc
- 📕ES24: remittance is 2nd largest contributor to current account income, after services export.
- World Bank also noted: remittances have a direct impact in poverty removal for many households, (धन प्रेषण से गरीबी उन्मूलन में मदद मिलती है)

30.5.6 💹 Positive relationship between Oil Prices & Remittance says 📕ES24:

- India's primary source of remittances is oil-exporting countries.

- Crude oil prices ↑ → more profit for Oil companies in Middle East → more demand for Indian workers → more remittance to India.

30.5.7 Visa: Golden Card/ Trump Card / H1B Green Card / Hire Act etc

It is a special type of visa given for a investor/ property-buyer/celebrity / sportsman / scientist / very bright student.

Nation	Description
USA, H-1B	• USA H-1B is a temporary (nonimmigrant) visa category that allows companies to get educated foreign professionals to work in "specialty occupations" such as mathematics, engineering, technology, MBBS, etc. • Trump imposed a $100,000 fee for new H-1B visa applications. Employer (company/maalik) needs to pay this to the USA government.
Green Card	Give **Permanent** residency in **USA**. (Whereas H1B is 'temporary' like 3–5 years)
Trump's Gold Card (EB5)	Invest $1 million to get a fast-track residency visa in USA
USA Hire Act	• To discourage American companies from outsourcing their work to foreign nations instead of hiring Americans locally. • It imposes additional excise tax on such American companies.
UAE	Many Bollywood stars are given Golden card VISA
China	**K-Visa, R visa:** To attract foreign workers

30.5.8 Remittance Tax by Trump (2025)

- U.S. government imposed a 3.5% tax on outward remittances starting from 1/Jan/2026. (Note: originally Trump said 5% → then reduced to 3% . This number keeps changing)
- Critics fear that this tax will discourage NRIs from sending money from the USA to India, harming India's remittance inflow. AND / OR
- NRIs may use illegal channels like the Hawala network / Bitcoin etc. to avoid the tax - it'll ↑ mafia involvement in global transactions.

30.4.3 Indian migrants' key destinations - ES23

	BEFORE (पहेले इधर)	NOWADAYS (आजकल प्रवासी मज़दूर इन देशों में ज़्यादा जाते है)
Destination	Gulf nations	USA,UK, East Asia,Singapore, Japan, Australia, NZ
Job types	low-skilled, informal	high-skilled jobs in high-income countries
Remittance	UAE (19.2 %)	US (27.7), UK (10.8%),Singapore (6.6%).

30.4.4 Report: Misc.

Report	Organization
Migration and Development Brief	World Bank
Global Migration Report	International Organization for Migration (IOM, HQ: Geneva, Switzerland) - a related organization of UN

30.5.9 💌 Remittance /Migrant workers → Pravasi Bharatiya Diwas (PBD)

1915	9th January: Gandhi-ji returned from S.Africa to Bombay (India).
2003	NDA-I (PM Vajpayee) decides to celebrate Pravasi Bharatiya divas (PBD) annually every 9th January. First summit @New Delhi. Presently organized by Ministry of External Affairs
2015	⇒ NDA-II (PM Modi) converts PBD into "biennial" event i.e. grand festival every second year. Then next year = only a 🥱 small event in India
2025	8-10th Jan in Bhubaneswar, Odisha. Theme: "Diaspora's Contribution to a Viksit Bharat".
2026	🥱 Small scale event @Delhi. भव्य रंगारंग कार्यक्रम नही. क्योकि वो तो हर दूसरे साल करते है।

30.6 ⛽BALANCE OF PAYMENT → CURRENT ACCOUNT → IMPORT OF OIL

🤖✍️	2019	2020	2021	2022	2023	2024	2025 (Avg)
Barrel price	$64.16	$41.96	$70.86	$99.04	$82.49	$81.00	$69.00

➢ Govt's target of ↓ oil import by 10% by 2022 (compared to 2015).

➢ Therefore, boosting domestic oil exploration & production is necessary. So, …..

30.4.5 ⛽👨🏿‍✈️ Domestic Oil Exploration Policies?

⇒ Nodal? Directorate General of Hydrocarbons: (DGH) Ministry of Petroleum & Natural Gas.पेट्रोलियम और प्राकृतिक गैस मंत्रालय हाइड्रोकार्बन महानिदेशक

⇒ Before the 1991's LPG reforms, only ONGC and other Public sector companies were allowed to explore the oil, gas and hydrocarbon reserves in India. But under 1991's Liberalization norms, this sector was opened for the private sector players as well. (पहले केवल सरकारी कम्पनियां कर सकती थी. हालाँकि बाद में निजी क्षेत्र की कम्पनियों को भी उदारीकरण नीति के अंतर्गत अनुमति दी गई है)

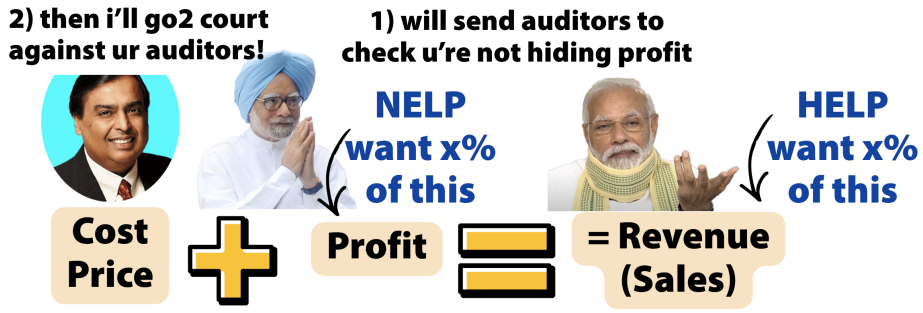
⇒ 1997: New Exploration Licensing Policy (NELP: नयी अन्वेषण अनुज्ञप्ति नीति) to award contract to public and private sector companies using bidding / auction system.

30.4.6 ⛽👨🏿‍✈️: 🥷NELP's primary limitations were →

Separate license required for each type of hydrocarbon.

NELP worked on production sharing contract (PSC: उत्पादन साझाकरण अनुबंध), wherein the Oil Explorer will pay a share to Govt from the profits from production. However,

⇒ Indian producers allegedly exaggerated their production costs to show less profit. → Govt earned less, and will do more 'inspector raj' to check account books → No ease of doing Biz. (उप्पाद खर्च को बढ़ा चढ़ा के दिखाया जाता ताकि मुनाफा कम दिखे)



30.6.1 ⛽📯👴 HELP Policy (हाइड्रोकार्बन अन्वेषण और अनुज्ञप्ति/लाइसेंसिंग नीति)

In 2016, NELP was replaced with Hydrocarbon Exploration and Licensing Policy (HELP).



- ✓ Single uniform license sufficient to explore and produce all type of hydrocarbons from the given area. *(oil, gas, coal bed methane, shale gas, tight gas and gas hydrates etc)*
- ✓ Govt to receive a **share from gross revenue** from sale of oil / gas etc, irrespective of company's profit. (बिक्री से हिस्सा देना होगा, सरकार को आपके मुनाफे से कोई लेनादेना नही)
- ✓ Government **not to interfere** in the marketing and pricing of the oil and gas.
- ✓ **Relaxed norms for exploration** in offshore areas, because they have higher risk and higher cost of production. (समुद्र में तट से दूर क्षेत्रों में खोज के लिए सुगम मानदंड)
- ✓ **Open Acreage Licensing Policy (OLAP)** → company can pick and choose the blocks from the designated area, even if no specific bids are invited by Govt before. Then Govt will invite other companies for auction.
- ✓ **2019-July**: Govt finished auctioning process of HELP-OLAP round 2 and 3.

30.6.2 India's Strategic Oil Reserves (भारत के सामरिक तेल भण्डार)

Objective? (When crude prices are low) India should buy and store crude oil for strategic-cum-buffer stock → use during war & other emergency. दाम सस्ते चल रहे हो तब, खरीद के भंडारण कर लेना चाहिए

- Ministry of Petroleum & Natural Gas → Govt petro companies → places such Visakhapatnam (Andhra), Chandikhol (Odisha), Padur & Mangalore (Karnataka) etc.
- They're stored in underground rock cavern facilities = more secure / safe during airstrikes, more economical and environmental friendly than conventional 'Above Ground Storage Tanks'

30.6.3 Leasing out the 1 million tonnes of vacant strategic crude oil storage

- Ministry of petroleum → India Strategic Petroleum Reserves (ISPRL) company has built over 5 million tonne while storage capacity at (1) Visakhapatnam in Andhra Pradesh, (2) Mangalore and Padur in Karnataka
- But at present, govt does not enough money/desire to buy and fill-up 100% capacity in these tanks / underground caverns.
- 2024-Feb: Govt decided to rent/lease out 1 million tonne storage capacity to (deshi & foreign) private sector companies.

30.1.1 Crude Oil prices & OPEC (कच्चा तेल)

⇒ 1961: Organization of the Petroleum Exporting Countries (OPEC: पेट्रोलियम निर्यातक देशों का संगठन) formed by Five founding members: 1. Iran, 2. Iraq, 3. Kuwait, 4. Saudi, 5. Venezuela.

⇒ **HQ:** Vienna city of Austria. Later more nations joined.

⇒ 2016: Russia is NOT a member but part of OPEC+ (PLUS) group

⇒ 2019–24: Qatar & Angola removed from the OPEC cartel.

⇒ 2026- **UAE quits OPEC bcoz it does not like the production quota.** UAE wants to produce more oil to earn more money for investing in AI and other tech. Thus OPEC membership = 11.

⇒ Depending on following factors of supply versus demand, there have been ups and downs in the oil price movement in the last 3 years: आपूर्ति और मांग के कारकों के चलते कच्चे तेल के दाम कम/ज्यादा होते हैं

Crude Oil	Supply Side Factors (आपूर्ति)	Demand Side (मांग)
Price up↑ तेल कब महंगा हो जाता है	**When Supply Decreases ↓** ⇒ Whenever OPEC + Russia agreed to reduce their oil production ⇒ 2019: Houthi (a Shia rebel group of Yemen with Irani support) Drone-attacked oil field of Saudi Arabia → Oil production down.	**When Demand Increases ↑** ⇒ When economic growth ↑ in USA, China, EU → ↑ demand for petroleum, plastic industry ⇒ Post-Corona unlockdown → travel ↑ → Oil demand ↑
Price down↓ कब सस्ता हो जाता है	**When Supply Increases↑** ⇒ When OPEC+Russia can't agree for production cuts ⇒ When Saudi Arabia ↑ supply to reduce global prices to harm Iranian Oil export business. ⇒ When USA pressurizes Nigeria, Iraq etc to produce more oil ⇒ When USA also increases its own domestic oil and Shale Gas Production	**When Demand Decreases↓** ⇒ When economic slowdown → demand for petroleum ↓ ⇒ Corona: Travel Ban ⇒ Chinese imposing more Taxes on imported American/Japanese cars → ↓ car sales → ↓ oil demand in China

30.4.7 Crude Oil: Theory / GK ?

Cartel	is an association of manufacturers who collude to keep prices high, and keep the competitors away. (More in Pillar#4Z-Microeconomics)
Sweet Crude Oil	Low Sulphur content. Sour crude = High Sulphur content.
BRENT Index	is an index to measures crude oil price, mainly in North West Europe.
1 barrel	Contains approx. 159 liters of oil

30.4.8 BoP: Current → Fall of Crude oil prices in negative figure

⇒ USA's crude oil prices are monitored through West Texas Intermediate (WTI) contracts.

⇒ Corona lockdown ⇓ oil demand, but American drillers couldn't stop production (restart cost too high). Merchants ran out of storage → sellers ended up paying buyers ~$40/barrel to take stock away. India didn't benefit much since we import from Middle East, not USA.

MCQ. Term 'West Texas Intermediate' refers to _ _ (Prelims-2020)

[a) Crude oil [b) Bullion [c) Rare earth elements [d) Uranium

30.4.9 Price cap Russian oil (2022)

- 2022-G7 group of nations (Canada, France, Germany, Italy, Japan, United Kingdom, United States) agreed to cap the price of Russian oil to reduce Russia's ability to finance its war on Ukraine. (रूसी कच्चे तेल की महत्तम खरीद कीमत पर सीमाएं लगाई।)
- India rejected this proposal. 2023: however, India managed to save only $2 per barrel even after Russia's 'deep discounts', due to cost of transportation and cargo-insurance. (हालांकि वास्तव में बहुत सस्ता मिला नहीं है- परिवहन और बीमा खर्च के चलते.)

- Criticism? Indian refinery have not passed the benefit of the cheap Russian oil to Indian consumers. Petrol-Diesel continues to remain expensive for them because of the high-level of taxes. (2) Trump imposed extra taxes/penalty on Indian exports.



30.6.4 Shadow Fleet (Russian Oil Exports):

To evade EU sanctions, Russia uses oil tankers and ships registered in Greece, Singapore, etc., for exports. Russians secretly control the ownership of these companies, known as the "shadow fleet."

30.6.5 Energy - India's to stop buying Russian oil (2026,Feb)

- Trump: India has committed to stop buying Russian oil, & India to invest $500 bn in USA.
- Russian Govt said "*Trump is making claims, but Indian govt not officially confirmed this*."

30.6.6 Energy- LPG India to buy from USA, for the first time (2025)

- Before: India improved LPG from Saudi Arabia, United Arab Emirates, Qatar, and Kuwait.
- After-2025: - Indian Sarkaari oil refinery have signed deal with American companies To buy 10% of our annual LPG imports from USA.
- Official reason: Energy security by diversifying the imports from multiple suppliers.
- Unofficial reason: To appease Donald Trump for the trade deal.

30.7 Balance of Payment → Current Account → Import of Gold

From 2010 onwards, Indian economy was suffering from high level of inflation (8-12%)

⇒ So households earned 'Negative Real Interest Rate: नकारात्मक वास्तविक ब्याज दर' on their bank deposits → started investing in gold. (More in **Pillar#1C: inflation Indexed Bonds**)

⇒ But, ↑ gold consumption → ↑ trade deficit, current account deficit → Indian rupee gets weaker. Gold transactions also help in the storage of black money and tax evasion. India is the second largest consumer of Gold after China. (सोने में ज्यादा निवेश से रुपया कमजोर. कर चोरी व काला धन)

Therefore, RBI and Indian government launched following schemes to reduce gold consumption:

30.7.1 RBI's 80:20 Scheme (2013-14)

- RBI mandated that minimum 20% of the imported gold must be exported back. Until then the Jeweller/ bullion dealers will not get permission to (convert their rupees into dollars / foreign

currency) to import next consignment of gold.

- RBI gets this power under Foreign Exchange Management Act (FEMA: विदेशी मुद्रा प्रबंधन अधिनियम). Although, **2014**: Scheme was stopped as the gold craze had declined.

30.7.2 Sovereign Gold Bond Scheme (2015: स्वर्ण बांड योजना)

(Covered in Pillar#1C: Share Market)

30.4.10 Gold Monetization Scheme (2015: स्वर्ण मुद्रीकरण योजना)



- Under this scheme, RBI allows commercial banks accept customers' idle gold / jewellery for 1 year to 15 years tenure. (2019- RBI also allowed Charitable Institutions and Central Govt to deposit their gold in the commercial banks)
- Min. 30gm to maximum any amount of gold can be deposited.
- Gold goes to → Metals and Minerals Trading Corporation of India →
  - Gold sold to jewellers, electronic circuits companies and
  - Some of the gold used for Minting "Indian Gold Coin."
- Upon maturity you can redeem deposit in the form of gold coin/bars or cash equivalent.

30.7.3 Gold monetisation scheme partially discontinued (2025)

Type of Gold Deposit	Duration	Interest & Responsibility
Short-Term Bank Deposit	1–3 years	Paid & Decided by Banker
Medium-Term Government Deposit	5–7 years	2.25% paid by Govt
Long-Term Government Deposit	12–15 years	2.50% paid by Govt

- 2025- March: Finance Ministry announced to discontinue medium & long-term deposits [due to skyrocketing of the gold prices, it will be a loss-making game for the government.]
- Individual banks allowed to continue the short-term scheme, but it is not compulsory for them to continue. depends on their own business decisions.

30.7.4 Gold investment schemes pe taxes

Tax on income	Sovereign Gold Bonds (Ref 1C)	Gold Monetisation Scheme
Income Tax on Interest	Yes, Income Tax applicable.	N/A
Capital gains tax on profit (from the principal)	N/A if held till maturity.	N/A

For more PhD watch youtube.com/watch?v=PpSoL6xFvJE

MCQ. Main objectives of Gold Monetization Scheme is _ _ _. (IEnggS-2018)

1. To monetize gold holdings in the country 2. To increase export of gold from the country
3. To reduce India's import bill 4. To meet the targets of reduction in fiscal deficit
Answer Codes: (a) 1 and 4 only (b) 2 and 4 only (c) 2 and 3 only (d) 1 and 3 only

🔠❓ **MCQ. What is/are the purpose/purposes of Government's 'Sovereign Gold Bond Scheme' and 'Gold Monetization Scheme'?** (Asked in UPSC-Pre-2016)

1.To bring the idle gold lying with Indian households into the economy.
2) To promote FDI in gold & jewellery sector. (3) To reduce India's dependence on gold imports.
Answer codes: (a) 1 only (b) 2 and 3 (c) 1 and 3 (d) 1, 2 and 3

30.7.5 🎖️🎖️🦁 Indian (Sovereign) Gold Coins (2015: भारतीय स्वर्ण सिक्के)

Issued by a Govt company "Metals and Minerals Trading Corporation of India".

- Available in denominations of 5, 10, 20 grams.
- These gold coins are not fiat money because **not issued under the powers of Coinage act**, they don't bear any markings indicating rupee denominations. Their markings only indicate gold grams. And since they're not 'fiat money' → so, not 'legal tenders'. (More in Pillar#1a1)
- Benefit? Trusted Purity → Easily resold → Easy liquidity, and Profit (if) gold price ↑ .

30.8 🥇 Gold related GK Data

Domain	Leading names (source: wikipedia/internet)
Mines	Nevada Gold Mines (U.S.A), Muruntau (Uzbekistan), Grasberg (Indonesia), Olimpiada (Russia), Pueblo Viejo (Dominican Republic)]
Producers	China, Australia, Russia, Canada, United States
Exporters	Switzerland, United Kingdom, USA, South Africa, Australia
Gold as in Central Bank reserve	USA, Germany, Italy, France, Russia

🔠 **MCQ. Consider the following statements:[Pre23-SET-A-Q086]**

Statement-I: Switzerland is one of the leading exporters of gold in terms of value.
Statement-II: Switzerland has the second largest gold reserves in the world.
Which one of the following is correct in respect of the above statements?
(a) Both Statement-I and -II are correct and Statement-II is the correct explanation for Statement-I
(b) Both Statement-I and -II are correct and -II is not the correct explanation for Statement-I
(c) Statement-I is correct but II is incorrect. (d) Statement-I is incorrect but Statement-II is correct

30.8.1 👑📈 Golden and Silver prices

🤖✍️	2019	2020	2021	2022	2023	2024	2025 (Avg)	2026-Sept
Gold (10gm)	₹35,220	₹48,651	₹48,720	₹52,670	₹63,203	₹78,245	₹1,04,320	₹1.50+ L
Silver (1kg)	₹40,600	₹63,435	₹62,572	₹55,100	₹78,600	₹95,700	₹1,73,000	₹2.40+ L

Reason why gold/silver prices go up:

- When investors shift their money from the share market (during weak SENSEX performance), from bank deposits (during high inflation), during geopolitical uncertainty (Ukraine, Gaza,

Iran), pandemic (Corona)

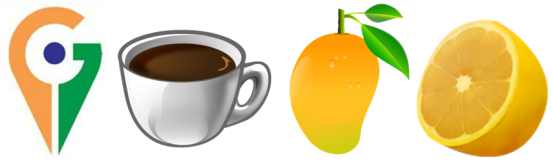
- When Gold/silver ETF (Exchange-traded funds) and commodity-derivative market speculators become more active.
- Silver: when electric vehicles, AI-CPU, etc., mfg companies begin to buy more of it as a raw material.
- When RBI and other central banks begin accumulating more gold in their forex reserve for decreasing the reliance on dollar. (Ref: Pillar#3B)

30.9 💎Lab Grown Diamonds (LGD: प्रयोगशाला में बनाए गए हीरे)

TYPE	💎🍀NATURAL (प्राकृतिक /कुदरती)	💎👩‍🔬LAB GROWN
Formation	Formed in the Earth's mantle with high temperature and pressure.	Grown in a laboratory using advanced technology
Production Time	billions of years	Weeks
Chemical & Physical Properties	Pure carbon in a crystalline form, very hard, very high refractive index	Same as natural diamonds
Cost	Very Expensive	Less expensive than Natural
Ethics and environment	Deforestation, child labour in African mines (खनन के लिए वृक्ष छेदन, बाल मजदूरी)	More ethical and sustainable (नैतिक और टिकाऊ।)

👛**Budget-2023:** (1) we'll promote LGD, its seeds, its machinery- via tax cuts and subsidies. (2) we'll give grant to an IIT for LGD research and development.

30.9.1 ☕BoP → Current → Export → GI Tag



⇒ A Geographical Indication (GI: भौगोलिक संकेतक) is a sign used on products with specific geographical origin and unique qualities due to that origin. E.g. Darjeeling tea from W.Bengal- It was the first to obtain GI tag from India.

⇒ 🤩**Benefit?** GI tag adds premium-ness to a product, helps fetching higher prices in the international market → better income for farmers and artisans.

30.9.2 GI: laws and agreements

⇒ WTO's Trade Related Intellectual Property Rights Agreement (**TRIPS**: *more in Pill#3B*) and

⇒ India's Geographical Indication of Goods Act, 1999. Once a product gets GI tag, it's valid for 10 years (and can be renewed further.) GI name cannot be used for products that are manufactured outside of the designated region, else party can be punished under the law

⇒ International Nodal? UN's specialized agency World Intellectual Property Organization (WIPO; विश्व बौद्धिक संपदा संगठन), HQ @Geneva,Switzerland

⇒ Indian Nodal? Commerce ministry → Controller General of Patents, Designs and Trademarks → Geographical Indications Registry in Chennai.

🎓**Self Study?** For UPSC interview, your state's GIs from ipindia.nic.in/registered-gls.htm

🔠❓***MCQ. 'Kandhamal Haldi', which received GI tag is indigenous to _ _ _ _. (CAPF-2019)***

(a) North Bengal(b) Southern Odisha(c) Sangli, Maharashtra(d) Alleppey, Kerala

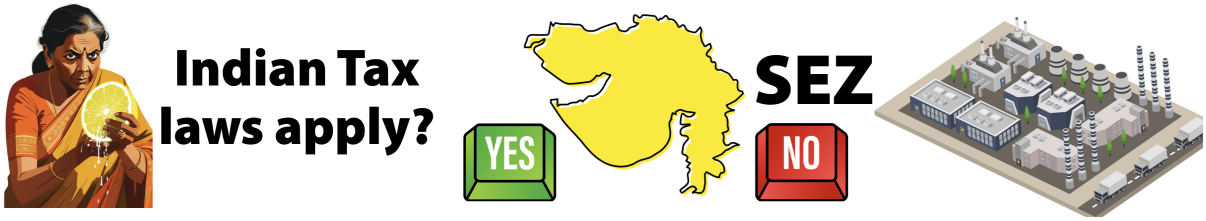
30.9.3 ☕🎸 GI Logo & Bharat GI Brand by Commerce Ministry

- Commerce Ministry has created a logo for GI products with tag 'Invaluable Treasures of Incredible India' to make them more attractive to foreign buyers. (विदेशी ग्राहकों में चाहत बढ़ाने के लिए)
- 2026: Launched "Bharat GI" at the India AI Impact Summit 2026.
- Bharat GI is a national umbrella brand for India's exclusive GI (Geographical Indication) products e.g. Coorg Coffee

30.4.11 🏬🛒 Unity Malls for selling GI, Handicraft etc. in 👛Budget-2023

⇒ Union to give loans to States to set up a Unity Mall in their state capital / best tourist city / financial capital. (एकता / यूनिटी मॉल बनाने के लिए केंद्र और राज्य को कर्जा देगा)

⇒ Unity mall be sell State's ODOPs (one district, one product), GI products, handicraft products. Even other states' products will be sold @Unity mall.



30.5 🍋🚫BoP → Current → Exports → SEZ

टैक्स भरना पड़ता है कि नहीं?	🍋Ordinary area	🍋🚫SEZ area
Mfg pe →	Excise / GST	N/A (नहीं लगता ये टैक्स)
Import Exports pe →	Customs Duty	N/A (नहीं लगता ये टैक्स)
Profit pe →	Corporation Tax/ Income Tax	N/A** (नहीं लगता ये टैक्स)

⇒ Special Economic Zones (SEZ: विशेष आर्थिक क्षेत्र) is a specifically demarcated area of India which is deemed as foreign territory for the purpose of Tax laws and Trade laws. (भारत के कर कानून वहां भारत के अन्य प्रदेशों की समान नहीं लागू होते। उन्हें करो में छूट/रियायत दी जाती है)

⇒ Thus, exempted from aforementioned taxes (OR)/ subjected to lower rate of taxes of Union and State Govts. This relief is for a specific time-period only, which is called "Tax holiday" (कराधान से छुट्टी, एक सीमित समय के लिए ही होती है, अनंत काल के लिए नहीं).

30.9.4 SEZ Sunset clause in Income Tax Act (आयकर कानून में सूर्यास्त प्रावधान)

⇒ Income Tax Act (Section 10AA) provides for a tax-holiday for SEZ firms for a period of "X" years only. Corona = Economists suggest this deadline should be extended to attract more foreign companies in India. ✋Exact norms & deadline? NOTimp#🕰️थोड़ा-पढ़ो-आगे-बढ़ो

30.9.5 💵💵Benefits given to SEZ

⇒ They get single window clearance for various import / export licenses / permissions

⇒ Government will bear the cost of developing the roads, sewage, affluent treatment, weighing packaging-labelling etc infrastructure within the SEZ.

⇒ They are regulated under SEZ policy (**2000**) and Special Economic Zone Act, **2005**.

⇒ State Govt forwards the proposal to create SEZ → Union's Commerce Ministry approves.

⇒ 1965: Asia's first SEZ was set up in **Kandla**, Gujarat (At that time it was called Export Processing Zone/EPZ). Currently we've 220+ SEZ in India.

⇒ 🥰**Benefit?** More exports, employment, economic growth.(निर्यात,रोज़गार और आर्थिक वृद्धि के अवसर)

⇒ 😨**Challenges?** SEZ entrepreneurs use legal loopholes → Tax avoidance, Workers deprived of EPFO/ESIC/Maternity benefit. When entrepreneurs' Tax holiday is over in one SEZ, they shutdown operation and move to another SEZ with new name/registration. Agricultural and forest lands diverted to build SEZs → future challenges in food security, pollution control and climate change.(कर परिहार, मज़दूरों का शोषण, कृषि ज़मीन कम होना भविष्य में खाद्य सुरक्षा, प्रदूषण के जोखिम)

Solution? 2018: Commerce Ministry had setup **Baba Kalyani** committee to look into SEZ issues.

🔠 ***MCQ. Find Correct (GPSC-2025)***

1. The first SEZ policy in India was announced in 2000

*2. The objective of SEZ policy was to increase foreign investment in India and to provide an internationally competitive environment for exports. 3. The SEZ Act was passed in **2010***

Code: (A) 1 and 2 only (B) 2 and 3 only (C) 1 and 3 only (D) 1, 2 and 3

Hint: SEZ act passed in **2005**, Eliminate accordingly, to arrive at right ans. It is not possible to memorise ke first SEZ policy in India announced in 2000.

30.5.1 🍋🚫👮‍♂️SEZ → DESH Hubs

👜🧍 Budget-2022: Development Enterprise and Services Hub (DESH) Bill, 2022 to replace the existing SEZ law of 2005 with following features:

⇒ DESH hubs will focus to ↑ mfg & services for both domestic market and export market.

⇒ Single window clearance e.g. pollution, fire-safety etc.

⇒ Easy norms for voluntary liquidation / exit (REF: Pillar1B2)

⇒ Promote research & development, infra facilities, Input tax credit for indirect taxes.

30.10 💎📞📯 BoP ➡️ Current ➡️ Foreign Trade Policy

Nodal? Director General of Foreign Trade (DGFT) under Ministry of Commerce.

Year	Policy
2018	Agri export policy. ref Pillar4A for more.
2015-20	• Foreign Trade Policy. Now replaced with new policy. India's export in goods and services in 2013-14 was ~$465 billions. This FTP Policy (विदेश व्यापार नीति) aimed to almost double it to $900 billion by 2020. • 2022: Exports India crossed $400-billion exports in goods.
2023	**new Foreign Trade Policy. given in next section below**

30.11 4 PILLARS OF FTP-2023

⇒ Incentive to Remission (e.g. RODTEP, EPCG, Advance Authorisation etc)
⇒ Ease of doing business, reduction in transaction cost and e-initiatives
⇒ Emerging Areas – E-Commerce Developing Districts as Export Hubs and streamlining SCOMET policy.
⇒ Export promotion through collaboration - Exporters, States, Districts, Indian Embassies abroad



MCQ. Which of the following is NOT one of the pillars of India's 'Foreign Trade Policy-2023'? *(CAPF-2024) (a) Enlarging MFN (Most Favored Nations) (b) Export promotion through collaboration (c) Ease of doing business (d) Emerging areas - streamlining SCOMET policy*

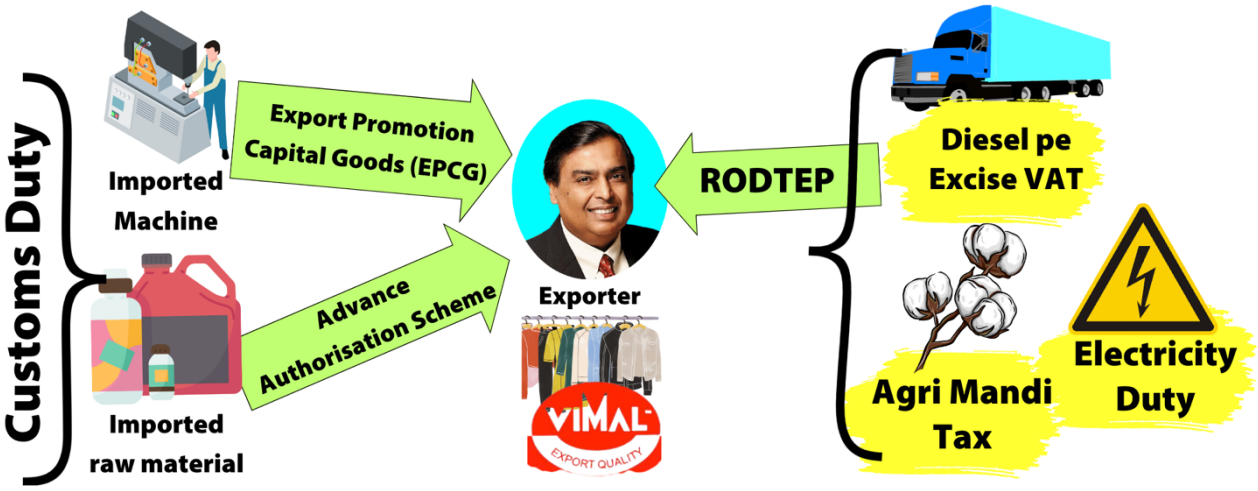
30.11.1 FTP-2023 Pillar#1: Incentive to Remission (टेक्श माफ़ी)

We are already running the schemes. We will continue them and make them better.

Remission Scheme	Description
RODTEP	Remission of Duties and Taxes on Exported Products (RODTEP) to provide refunds to exporters for various taxes paid on inputs. (more details given in separate section)
EPCG / Duty free import of capital goods (आयातित मशीनरी पर टैक्स माफ़ी)	- Export Promotion capital Goods Scheme: 0% Customs duty import of capital goods (machinery) for export production. - Such machines are also exempted from iGST and GST compensation cess. - FTP2023: Will give some extra benefits to Textile factories in PM MITRA Parks, Dairy, Green Hydrogen, Battery Electric Vehicles (BEV), Vertical Farming equipment, Wastewater Treatment, Rainwater harvesting system.
Advance Authorisation Scheme (AAS) (आयातित कच्चे माल पर टैक्स माफ़ी)	0% customs on import of raw materials for manufacturing export items. e.g. oil, catalyst, etc., required for manufacturing export product. DGFT has designed a list of such raw material. This list is called **Standard Input-Output Norms (SION) list.**

कुल मिलाकर उक्त सभी योजनाओं में निर्यातक को अपने कच्चे माल, मशीनरी इत्यादि पर जो टैक्स भरने होते हैं उसमें छूट दी जाती है

FAQ: Isn't RODTEP and AAS overlapping with each other? Ans. They've internal technical rules ki if imported item is raw material then AAS but if imported item is not raw material but required for production, then RODTEP.



30.11.2 FTP-2023 Pillar#2: Ease of Doing Biz (व्यापार में सुगमता)

⇒ we'll take feedback from Industry to update FTP, from time to time.

⇒ Process Re-Engineering and Automation, paperless, online environment, Reduction in fee structures, eliminating the need for manual interface. (कागज रहित ऑनलाइन प्रणाली, पंजीकरण फ़ीस में कटौती, उद्योगजगत से सुझाव लेके विश्वास व भागीदारी/सहयोग से काम करेंगे।)

FAQ: what does about things mean? How does it work?? Ans. NOTIMP. Whatever few fancy key words, you can remember → write them in Mains.

30.11.3 FTP-2023 Pillar3: Emerging Areas (उभरते क्षेत्र)

FTP-2023 will focus on emerging areas such as SCOMET, Dual Use goods, E-Commerce and Merchanting Trade.

30.11.4 SCOMET & Dual use Export

- SCOMET = Special Chemicals, Organisms, Materials, Equipment and Technologies. (विशेष रसायन, जीव, सामग्री, उपकरण और प्रौद्योगिकियां)
- Dual-use High end goods e.g. night vision/thermal scanner, drones etc. (दोहरे उपयोग के सामान)
- FTP-2023: we'll promote their export.

30.11.5 E-Commerce Exports

- Integration of Courier and Postal exporters with ICEGATE portal of CBIC. (ICEGATE portal is for import-export related documents/clearance/taxes)
- outreach and training activities for rural artisans, weavers, garment manufacturers, gems-jewellery designers to help them export via E-Commerce platforms (ग्रामीण बुनकरों, कारीगरों, ज़ोहरीओ को ऑनलाइन-व्यापार प्लेटफ़ार्म/कम्पनियो के साथ जोड़ेंगे, ताकि वे भी अपना माल देश-दुनिया को बेच सके।)

30.11.6 E-Governance initiatives

App/Portal	Developer/Function
SWIFT	CBIC → Single Window Interface for Facilitating Trade (SWIFT) for importers and exporters through icegate.gov.in. Within that, e-

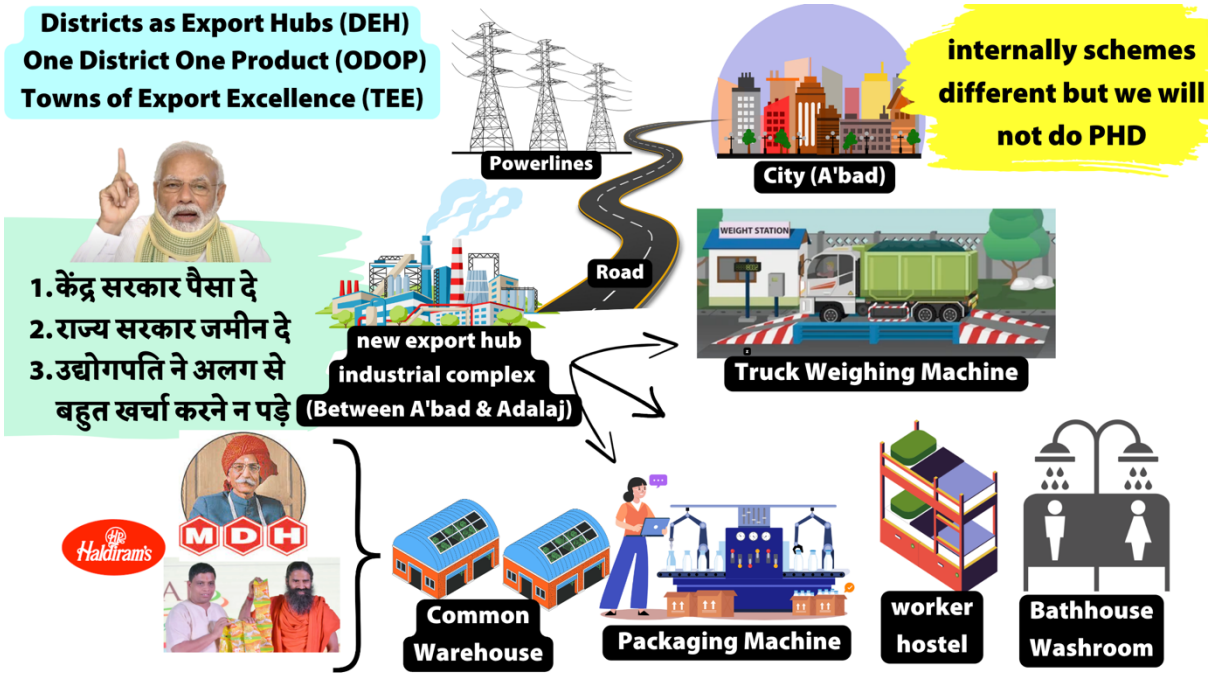
	governance modules like E-Sanchit, Turant etc for approval etc.
India Trade webportal and Niryat Mitra App.	by Commerce Ministry & FIEO (Federation of Indian Export Organisations)

30.11.7 Merchanting trade @Gift City (वाणिज्यिक व्यापार)



(Definition) when a company buys goods from one country and then sells them to a buyer in another country without bringing the goods into their own country.

It's essentially acting as a middleman in the international trade of goods. e.g. Companies Dubai, Singapore and Hong Kong. FTP-2023 will promote this in GIFT city IFSC.



30.11.8 FTP-2023 Pillar4: Collaboration of Stakeholders (हितधारकों का सहयोग)

Stakeholder	How to use them for export promotion?
District **(हर ज़िले से एक उत्पाद का निर्यात)**	Commerce ministry was running two initiatives namely: ⇒ 1) Districts as Export Hubs (DEH) ⇒ 2) One District One Product Initiative (ODOP) Now, both 1+2 merged together and called ODOP. ⇒ It seeks to select, brand, and promote products/services from **each district** for exports - District Export Promotion Committees (DEPCs) have been setup in 739 districts to focus on agriculture, GI-products, Toys, handicrafts etc. (ज़िला निर्यात प्रोत्साहन समितियाँ)

Stakeholder	How to use them for export promotion?
Town (शहरों में निर्यात के लिए बुनियादी अवसंरचना का निर्माण)	- Four new towns, namely Faridabad, Mirzapur, Moradabad, and Varanasi, designated as **Towns of Export Excellence (TEE),** in addition to the existing 39 towns. - Govt will give them funding for export infrastructure e.g. warehouses, transportation, packaging facilities etc.
Indian mission/embassy abroad (विदेशी ग्राहकों की पसंद/नापसंद का सर्वेक्षण दूतावासो द्वारा करवायेंगे)	we'll give them funding under Market Access Initiative (MAI) to do research/survey of Country specific customer likes/dislikes/product preferences.
Exporters (पुराने/अनुभवी निर्यातक नौसिखियों को तालीम देंगे)	- **Exporters will be given Star rating/Status** based on export performance. 2Star/higher exporters will give training/mentoring to new/fresh exporters. - **Niryat Bandhu Scheme (2013):** Govt mentors the new and potential exporters and mentor them through training, counselling, orientation programmes with help of IIFT & other orgs.

30.11.9 Trade policy: stakeholder consultation must (2025)

Directorate General of Foreign Trade (DGFT) notified changes in the Foreign Trade Policy, 2023

Before	After 2025 Reform
not compulsory. विदेश व्यापार नीति में अपनी मनमानी से सरकार कुछ भी लागू कर सकती थी।	necessary for govt to do consultation with stakeholders e.g. importers/exporters/industry experts before making changes in Trade Policy. (हित-धारको से राय लेना अनिवार्य)

if Govt does not accept the feedback, then Govt will have to publicly announce the reasons for it.

Benefit?: Transparency, Accountability, & Ease of Doing Business. (जवाबदेही, पारदर्शिता)

30.12 Export Improvement -Misc. Schemes

30.12.1 Export Promotion Mission in Budget-2025

- Boss? jointly by the Ministries of Commerce, MSME, and Finance. Focus on
- (1) Faster loan approval (2) Factoring for MSME (what is factoring- ref 1C1)
- (3) Help MSMEs to tackle non-tariff measures abroad. e.g. when EU banning Indian tomato ketchup for insects/pesticides. (Ref: Pillar#3C:WTO for more)

30.12.2 BharatTradeNet (BTN) Portal in Budget-2025:

- Boss? Not yet announced, but I would guess Commerce Ministry.
- Portal for (1) import export related documents submission & (2) financing (loan) facility.
- BTN will also connect with Unified Logistics Interface Platform (ULIP, portal by Commerce Ministry for transport, cargo related facilities):

30.12.3 Trade Connect e-Platform by DGFT

- Boss? Directorate General of Foreign Trade (DGFT) under commerce ministry.
- Objective? Help exporters to reach newer nations/markets. e.g selling parle-G to Tanzania.

30.5.2 🍋🤑Tax Credit for Exporters: MEIS/SEIS

Boss? Commerce Ministry **WAS** running two tax-incentive schemes to boost exports

⇒ Services Exports from India Scheme (SEIS: भारत से सेवाएं निर्यात योजना).

⇒ Merchandise Exports from India Scheme (MEIS: भारत से व्यापारिक माल निर्यात योजना)

These schemes provide tax credit to exporters, which they can use for paying Union's Customs Duty.

AFTER RODTEP is notified fully, the MEIS scheme will be STOPPED.

30.5.3 🍋🤑Tax Credit for Exporters: RoDTEP?

Remission of Duties and Taxes on Exported Products (RoDTEP: निर्यात उत्पादों पर शुल्क और कर की छूट).

Boss? Commerce Ministry

	MEIS	RoDTEP
Exporter gets Input Tax Credit (ITC) for	Customs Duty	ITC given for following taxes Exporter paid: 1. Customs Duty 2. Transport fuel (petrol diesel) Excise and VAT 3. Agriculture raw material pe State Mandi tax (it's not a 'tax' but rather a FEES charged by APMC Mandi.) 4. Stamp duty on Commodity trade (Ref:2A) 5. Electricity pe electricity duty (Ref: 2A)
WTO allowed it?	No, so WTO ordered to stop it.	Yes (or atleast PM Modi claims so.) RoDTEP will replace MEIS scheme.

RODTEP was valid from 2021 to Feb'25. But now the scheme is extended/continued further.

30.5.4 ⚓Port Logistics: Authorised Economic Operator (AEO-अधिकृत आर्थिक संचालक:)

⇒ An importer/exporter/cargo company can apply to the Central Board of Indirect Taxes and Customs (CBIC) to get this 'status'.

⇒ Subject to conditions like 1) minimum 3 years experience 2) never filed bankruptcy 3) never caught in fraud / smuggling etc. 🥰 **Benefits?** Faster clearance times, fewer physical checks

30.5.5 ✈️Krishi Udan Scheme v 2.0 (Civil Aviation Ministry, 2020)

To help farmers to transport/export perishable food products within India and Abroad

2021: version 2.0 launched to focus on hilly areas, North- Eastern states, and tribal areas e.g.

King Chillies, Burmese Grapes & Assamese Lemon	Gauwahati
Jackfruit	Tripura
Litchi	Darbhanga

30.13⚓😨 Export Problem → 🚢Sea Routes and Trade Disruptions (2023-26)

Sea Route	Reason for Trade Disruption in recent years
Red Sea	Attacks by Houthi militia. 40% of global trade affected, leading to higher shipping costs and longer delivery times., esp. agriculture / Basmati-rice etc.
Strait of Hormuz	Attacks by Irani Navy Affected 21% of global petroleum trade.
Panama Canal	Water scarcity by El Niño affecting 5% of global maritime trade.

Next HDT: 3A2: BoP → Capital Account→ Investment→ FDI / FPI